

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the six months ended 30th September 2017

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	For the quarter ended			For the six months ended		
	30.09.2017	30.09.2016	Change	30.09.2017	30.09.2016	Change
	LKR	LKR		LKR	LKR	
	Unaudited*	Reclassified Unaudited*	%	Unaudited*	Reclassified Unaudited*	%
Interest Income	617,095,489	487,607,178	26.6%	1,187,214,906	918,892,972	29.2%
Interest Expenses	(309,807,705)	(225,743,323)	37.2%	(587,304,514)	(420,954,388)	39.5%
Net Interest Income	307,287,783	261,863,854	17.3%	599,910,392	497,938,583	20.5%
Net Trading Gain/(Loss) on Equity Securities	(22,770)	713,633	-103.2%	(26,927)	2,363,398	-101.1%
Other Operating Income	21,331,504	31,056,399	-31.3%	44,080,297	52,127,857	-15.4%
Less: Operating Expenses						
Personnel Costs	(66,886,728)	(61,334,952)	9.1%	(131,364,744)	(124,515,334)	5.5%
Provision for Staff Retirement Benefits	(1,500,000)	(1,200,000)	25.0%	(3,000,000)	(2,400,000)	25.0%
General and Administration Expenses	(111,325,025)	(90,175,098)	23.5%	(213,637,913)	(170,172,381)	25.5%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(73,300,000)	(60,000,000)	22.2%	(129,000,000)	(95,000,000)	35.8%
Operating Profit before Value Added Tax on Financial Services	75,584,763	80,923,835	-6.6%	166,961,106	160,342,123	4.1%
Value Added Tax on Financial Services	(19,103,559)	(13,500,000)	41.5%	(37,137,172)	(26,100,000)	42.3%
Profit Before Taxation	56,481,205	67,423,835	-16.2%	129,823,933	134,242,123	-3.3%
Income Tax (Expenses) / Reversal	(16,631,786)	(10,500,000)	58.4%	(33,434,871)	(21,000,000)	59.2%
Profit for the Period	39,849,418	56,923,835	-30.0%	96,389,062	113,242,123	-14.9%
Actuarial Loss on Retirement Benefit Liability	-	-	-	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-
Total Comprehensive Income for the Period	39,849,418	56,923,835	-30.0%	96,389,062	113,242,123	-14.9%
Earnings Per Share - Basic	0.19	0.27	-30.0%	0.23	0.27	-14.9%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.09.2017 LKR Unaudited*	31.03.2017 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	514,339,520	601,891,827	-14.5%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	594,399,551	433,333,648	37.2%
Other Financial Assets	407,760,914	-	100.0%
Financial Assets - Held for Trading	218,213	50,204,691	-99.6%
Loans and Advances	7,399,872,848	6,838,366,400	8.2%
Lease Rentals Receivable and Hire Purchase	1,579,603,007	1,424,679,822	10.9%
Other Assets	737,775	15,626,098	-95.3%
Advances, Deposits and Prepayments	61,645,247	64,760,286	-4.8%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	175,860,839	161,931,102	8.6%
Investment Property	306,732,938	306,253,164	0.2%
Deferred Tax Assets	118,202,710	118,202,709	-
Intangible Assets	10,313,174	11,179,033	-7.7%
Total Assets	11,170,193,394	10,026,935,439	11.4%
LIABILITIES			
Due to Banks	281,993,129	36,031,902	682.6%
Other Liabilities	20,072,103	46,791,280	-57.1%
Current Tax Liabilities	12,564,476	30,749,073	-59.1%
Other Borrowed Funds	3,019,096,716	2,476,518,223	21.9%
Due to Customers	6,040,510,635	5,681,178,140	6.3%
Retirement Benefit Liability	21,419,955	18,774,955	14.1%
Total Liabilities	9,395,657,015	8,290,043,573	13.3%
SHAREHOLDERS' FUNDS			
Stated Capital	1,388,935,273	1,388,935,273	-
Retained Earnings	321,433,985	288,608,924	11.4%
Statutory Reserve Fund and Other Reserves	64,167,122	59,347,669	8.1%
Total Equity	1,774,536,379	1,736,891,866	2.2%
Total Equity and Liabilities	11,170,193,394	10,026,935,439	11.4%
Net Assets Per Share	2.11	2.07	2.2%

* Figures in brackets indicate deductions.

We certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th September 2017 and its profit for the Six months ended 30th September 2017.

Sgd

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

Sgd

R.J.A. Gunawardena

Director/CEO

Sgd

H.L.L.M. Nanayakkara

Director/Chairman

09th November 2017

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED 30 SEPTEMBER, 2017

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	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2016 (Audited)	1,388,935,273	3,000,000	42,579,648	27,016,515	1,461,531,436
Total comprehensive income for the Period					
Profits for the six months ended 30.09.2016	-	-	-	113,242,123	113,242,123
Other comprehensive income (net of tax)	-	-	-	-	-
Transferred to/from reserves During the Period	-	-	5,662,106	(5,662,106)	-
Balance as at 30th September, 2016 (Unaudited*)	1,388,935,273	3,000,000	48,241,754	134,596,532	1,574,773,559
Balance as at 1st April, 2017 (Audited)	1,388,935,273	3,000,000	56,347,669	288,608,924	1,736,891,866
Total comprehensive income for the Period					
Profits for the six months ended 30.09.2017	-	-	-	96,389,062	96,389,062
Other comprehensive income (net of tax)	-	-	-	-	-
Transferred to/from reserves During the Period	-	-	4,819,453	(4,819,453)	-
Final dividend for 2016/17				(58,744,548)	(58,744,548)
Balance as at 30th September, 2017 (Unaudited*)	1,388,935,273	3,000,000	61,167,122	321,433,985	1,774,536,379

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.09.2017 Rs. Unaudited*	30.09.2016 Rs. Unaudited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	129,823,933	134,242,123
Adjustments for		
Depreciation and Amortization	21,844,325	15,387,317
Impairment of Loans, Lease and Hire Purchase	129,000,000	95,000,000
Profit on Sale of Quoted Equity Shares	40,449	(603,213)
Gain on Fair Valuation of Held for Trading Securities	(13,523)	(1,760,185)
Profit from Sale of Property, Plant and Equipment and Investment Property	(490,028)	2,018,475
Provision for Retirement Benefit Liability	3,000,000	2,400,000
Finance Cost	1,735,093	1,698,772
Profit from Operation Before Working Capital Changes	284,940,250	248,383,289
(Increase)/Decrease in Real Estate Inventories	-	34,468,475
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	(181,016,709)	104,050,428
Increase in Loans and Advances	(466,992,283)	(1,359,165,317)
(Increase)/Decrease in Other Receivables	14,888,323	2,891,957
(Increase)/Decrease in Deposits and Prepayments	3,115,039	6,388,510
(Increase)/Decrease in Other Financial Assets	(407,760,914)	(43,883,305)
Increase in Deposits from Customers	359,332,495	659,197,656
Increase/(Decrease) in Other Liabilities	(26,719,177)	(14,289,021)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(420,212,976)	(361,957,327)
Taxes Paid	(28,405,713)	23,397,893
Gratuity Paid	(355,000)	-
Net Cash From Operating Activities	(448,973,689)	(338,559,434)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment	(35,269,569)	(28,813,601)
Acquisition and proceeds from sale of Investment Property	950,000	(44,180,317)
Acquisition/ proceeds from of Vehicle Stock	-	(1,300,000)
Purchases of Quoted Shares	-	-
Proceeds from Sales of Quoted Shares	-	49,224,546
Proceeds from Sales of Property, Plant and Equipment	650,962	-
Net Cash Flows From/(Used in) Investing Activities	(80,897,334)	(25,069,372)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(1,316,291,416)	(408,479,544)
Proceeds from Other Borrowed Funds	1,673,714,809	1,172,150,638
Net Cash Flows From/(Used in) Financing Activities	357,423,393	763,671,094
Net Increase in Cash and Cash Equivalents	(172,447,631)	400,042,288
Cash and Cash Equivalents at the Beginning of the Period	999,193,573	852,738,833
Cash and Cash Equivalents at the End of the Period	826,745,942	1,252,781,121
A At the Beginning of the Year		
Cash and Cash Equivalents	601,891,827	690,797,870
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	433,333,648	328,866,266
Bank Overdraft	(36,031,902)	(166,925,303)
	999,193,573	852,738,833
At the End of the Period		
Cash and Cash Equivalents	514,339,520	967,081,202
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	594,399,551	432,378,758
Bank Overdraft	(281,993,129)	(146,678,838)
	826,745,942	1,252,781,121

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.09.2017	30.09.2016	30.09.2017	30.09.2016	30.09.2017	30.09.2016	30.09.2017	30.09.2016	30.09.2017	30.09.2016	30.09.2017	30.09.2016	30.09.2017	30.09.2016
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	164,100,247	147,708,673	7,420,218	24,840,511	798,365,785	614,426,640	64,878,414	50,962,584	128,280,826	67,375,969	24,169,415	13,578,594	1,187,214,906	918,892,971
Other Income	6,528,985	5,765,975	295,225	969,677	31,879,579	23,984,837	185,899	2,931,181	-	-	5,163,682	20,839,585	44,053,370	54,491,255
Total Revenue	170,629,232	153,474,647	7,715,443	25,810,189	830,245,365	638,411,477	65,064,313	53,893,765	128,280,826	67,375,969	29,333,097	34,418,180	1,231,268,277	973,384,226
Segmental Result	23,137,480	25,281,333	1,046,221	4,251,621	112,582,032	105,163,253	8,822,780	8,877,728	17,394,997	11,098,604	3,977,595	5,669,584	166,961,106	160,342,123
Value Added Tax on Financial Services													(37,137,172)	(26,100,000)
Profits from Operations													129,823,933	134,242,123
Income Tax Charge/Reversal for the Period													(33,434,871)	(21,000,000)
Net profit for the Period													96,389,062	113,242,123
Segment Assets	1,483,534,513	1,304,064,690	96,068,495	268,814,499	6,021,600,825	5,282,636,852	1,517,224,857	1,452,909,122	1,378,272,023	890,369,607	-	-	10,496,700,712	9,198,794,769
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	673,492,682	522,985,132	673,492,682	522,985,132
Total Assets	1,483,534,513	1,304,064,690	96,068,495	268,814,499	6,021,600,825	5,282,636,852	1,517,224,857	1,452,909,122	1,378,272,023	890,369,607	673,492,682	522,985,132	11,170,193,394	9,721,779,901
Segment Liabilities	1,320,280,257	1,146,605,415	85,496,721	236,356,496	5,358,959,038	4,644,784,930	1,350,263,177	1,277,477,628	1,226,601,286	782,861,940	-	-	9,341,600,480	8,088,086,408
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	54,056,534	58,919,935	54,056,534	58,919,935
Total Liabilities	1,320,280,257	1,146,605,415	85,496,721	236,356,496	5,358,959,038	4,644,784,930	1,350,263,177	1,277,477,628	1,226,601,286	782,861,940	54,056,534	58,919,935	9,395,657,015	8,147,006,342

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2017.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th September, 2017 (including comparatives) were approved and authorized for issue on 09th November 2017 in accordance with resolution of the board of directors on 09th November 2017.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th September, 2017 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.
07. Stated capital is represented by number of shares in issue as follows.

	30.09.2017	30.09.2016
Issued and Fully Paid Ordinary Shares (Quoted)	839,207,833	839,207,833

08. Market Value of Shares

	30.09.2017	30.09.2016
	Rs.	Rs.
Highest Traded Price	1.70	1.70
Lowest Traded Price	1.40	1.50
Closing Price	1.40	1.60

09. There has been no significant change in the nature of the contingent liabilities/Assets for the year ended 31st March 2017 which were disclosed in the Audited Financials for the year ended 31st March 2017.
10. Reclassification of Comparatives

Comparative Information have been re- classified below in order to comply with the current Period's presentation

Statement of Comprehensive Income

	As Reported Previously 30/09/2016	Current Presentation 30/09/2016	Impact
	Rs.	Rs.	Rs.
Personnel Costs	(167,540,525)	(124,515,334)	(43,025,191)
General and Administration Expenses	(127,147,190)	(170,172,381)	43,025,191
			-

11 Major 20 share holders as at 30th September 2017

NAME	No of Shares	(%)
1 Muthoot Finance Limited	503,524,700	60.000
2 Seylan Bank PLC/Thirugnanasambandar Senthilverl	50,670,400	6.038
3 J.B. Cocoshell (Pvt) Ltd	42,429,508	5.056
4 Mr. S.D.R.Arudpragasam	21,594,120	2.573
5 Dr. T. Senthilverl	21,055,044	2.509
6 Mrs.G.I.Vasunthara	17,175,002	2.047
7 People's Leasing & Finance PLC/Mr.W.K.R.Jayakody	14,920,000	1.778
8 Mr. P.A.D.R.U. Pushpakumara	13,050,000	1.555
9 Mr.K.M.S.M.Razeek ,Mr.K.S.M.Rajubdeen & Mr.S.M.R.Mohamed	7,400,000	0.882
10 Waldock Mackenzie Limited/Mr.P.S.R.Casie Chitty	5,500,000	0.655
11 Code-Gen International Pvt Ltd	4,241,188	0.505
12 Mr.C.W. Gunasekara	4,155,000	0.495
13 Ceylon Biscuits Limited	3,750,000	0.447
14 DFCC bank PLC/Mr.K.S.D.Senaweera	3,350,000	0.399
15 Mr.P.P. Subasinghe	2,781,608	0.331
16 Mr.C.R.Perera	2,589,987	0.309
17 M Investments Lanka (Pvt) Ltd	2,578,578	0.307
18 Mr.S.Abishek	2,133,997	0.254
19 Mr.K.Sabaratham	2,004,000	0.239
20 Mr.U.C.Bandaranayake and Mrs.L.Bandaranayake	2,000,000	0.238
	726,903,132	86.618
Othres	112,304,701	13.382
Total	839,207,833	100.000

No of Shareholders	% of Shareholding
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12 Shares held by public as at 30th September 2017

2,507 39.83

13 Directors Share Holding

Name	No. of Shares 30.09.2017	%
Mr. H.L.L.M. Nanayakkara	100	-
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	600,000	0.071
Mr.G.Alexander	-	-
Mr.Chandrakumar Ramachandra	800,000	0.095
Mr.R.A.T.P.Perera	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai	-	-
Mr.R.A.B. Basnayake	-	-

14. Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB139PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC

Audit Committee

Mr.Thusitha Perera
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Thusitha Perera
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)

Remuneration Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake

Related Party Transactions Review Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mrs.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon

IT Committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris

Credit Committee

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Chandrakumar Ramachandra